

overspecialized experts failed tests in their own specialties.

The hedgehog and the fox. Tetlock distinguishes between two types of predictors, the hedgehog and the fox, according to a distinction promoted by the essayist Isaiah Berlin. As in Aesop's fable, the hedgehog knows one thing, the fox knows many things—these are the adaptable types you need in daily life. Many of the prediction failures come from hedgehogs who are mentally married to a single big Black Swan event, a big bet that is not likely to play out. The hedgehog is someone focusing on a single, improbable, and consequential event, falling for the narrative fallacy that makes us so blinded by one single outcome that we cannot imagine others.

Hedgehogs, because of the narrative fallacy, are easier for us to understand—their ideas work in sound bites. Their category is overrepresented among famous people; ergo famous people are on average worse at forecasting than the rest of the predictors.

I have avoided the press for a long time because whenever journalists hear my Black Swan story, they ask me to give them a list of future impacting events. They want me to be *predictive* of these Black Swans. Strangely, my book *Fooled by Randomness*, published a week before September 11, 2001, had a discussion of the possibility of a plane crashing into my office building. So I was naturally asked to show “how I predicted the event.” I didn't predict it—it was a chance occurrence. I am not playing oracle! I even recently got an e-mail asking me to list the next ten Black Swans. Most fail to get my point about the error of specificity, the narrative fallacy, and the idea of prediction. Contrary to what people might expect, I am not recommending that anyone become a hedgehog—rather, be a fox with an open mind. I know that history is going to be dominated by an improbable event, I just don't know what that event will be.

Reality? What For?

I found no formal, Tetlock-like comprehensive study in economics journals. But, suspiciously, I found no paper trumpeting economists' ability to produce reliable projections. So I reviewed what articles and working papers in economics I could find. They collectively show no convincing evidence that economists as a community have an ability to predict, and, if they have some ability, their predictions are at best just *slightly* better than random ones—not good enough to help with serious decisions.

The most interesting test of how academic methods fare in the real world was run by Spyros Makridakis, who spent part of his career managing competitions between forecasters who practice a “scientific method” called